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CASE NAME: Simon v. Farmers Insurance Group, Inc., et al.

CASE NO.: 25SMCV01613

MOTION: Demurrer to the First Amended Complaint

HEARING

DATE: 7/15/2026

LEGAL STANDARD

A demurrer for

sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (CCP §§ 430.30, 430.70.) At the pleading stage, a plaintiff need only allege ultimate facts sufficient to apprise the defendant of the factual basis for the claim against him. (Semole v. Sansoucie (1972) 28 Cal. App. 3d 714, 721.) A “demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction of instruments pleaded, or facts impossible in law.” (S. Shore Land Co. v. Petersen (1964) 226 Cal.App.2d 725, 732, internal citations omitted.)

A special demurrer for

uncertainty is disfavored and will only be sustained where the pleading is so bad that defendant cannot reasonably respond—i.e., cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him/her. (CCP § 430.10(f); *Khoury v. Maly's of Calif., Inc.* (1993) 14 Cal.App.4th 612, 616.) Moreover, even if the pleading is somewhat vague, “ambiguities can be clarified under modern discovery procedures.” (Ibid.)

“Liberality in

permitting amendment is the rule, if a fair opportunity to correct any defect has not been given.” (*Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217, 1227.) It is an abuse of discretion for the court to deny leave to amend where there is any reasonable possibility that plaintiff can state a good cause of action. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349.) The burden is on plaintiff to show, in what manner, plaintiff can amend the complaint, and how that amendment will change the legal effect of the pleading. (Id.)

ANALYSIS

Defendant 21st Century

Insurance Company demurs to Plaintiff Rebecca Simon’s First Amended Complaint (“FAC”), including the fourth cause of action for breach of fiduciary duty, the fifth cause of action for negligence, and the sixth cause of action for fraud and deceit.

Plaintiff’s Objections to the Demurrer

Plaintiff asserts that

the demurrer fails to comply with California Rules of Court (“CRC”) rule 3.1113(f), which requires any memorandum exceeding ten pages contain both a table of contents and a table of authorities. Indeed, Defendant’s demurrer does not comply with that rule. However, such a failure would not be a basis to overrule the demurrer. Plaintiff only cites CRC Rule 3.1113(g) regarding oversized memoranda. Defendant’s failure to provide a table of contents does not meet the definition of an oversized memorandum. That said, for any future motion or opposition it brings, Defendant must comply with CRC Rule 3.1113(f), or risk its memorandum of points and authorities not being considered.

Plaintiff also cites

CCP section 430.41(b). However, that subdivision is not implicated, because Defendant

raised the same grounds for demurrer here as it did in the prior demurrer: that Plaintiff failed to state a claim as to each cause of action.

4th

COA - Breach of Fiduciary Duty

Defendant argues that the breach of fiduciary duty cause of action fails to state a claim because an insurer is not a fiduciary.

To maintain an action for breach of fiduciary duty, a plaintiff must allege: 1) the existence of a fiduciary duty between plaintiff and defendant; 2) defendant's breach of that duty; and 3) damage caused by the breach. (*Gutierrez v. Girardi* (2011) 194 Cal.App.4th 925, 932.) A fiduciary duty is founded upon a special relationship imposed by law or under circumstances in which "confidence is reposed by persons in the integrity of others" who voluntarily accept the confidence. (*Tri-Growth Centre City, Ltd. v. Silldorf, Burdman, Duignan & Eisenberg* (1989) 216 Cal.App.3d 1139, 1150.) "A fiduciary relationship is any relation existing between parties to a transaction wherein one of the parties is in duty bound to act with the utmost good faith for the benefit of the other party. Such a relation ordinarily arises where a confidence is reposed by one person in the integrity of another, and in such a relation the party in whom the confidence is reposed, if he voluntarily accepts or assumes to accept the confidence, can take no advantage from his acts relating to the interest of the other party without the latter's knowledge or consent..." (*Wolf v. Superior Court* (2003) 107 Cal.App.4th 25, 29, internal citations and quotations omitted.) "Before a person can be charged with a fiduciary obligation, he must either knowingly undertake to act on behalf and for the benefit of another, or must enter into a relationship which imposes that undertaking as a matter of law." (*Cleveland v. Johnson* (2012) 209 Cal.App.4th 1315, 1338.) "[E]xamples of relationships that impose a fiduciary obligation to act on behalf of and for the benefit of another are 'a joint venture, a partnership, or an agency.' But, '[t]hose categories are merely illustrative of fiduciary relationships in which fiduciary duties are imposed by law.'" (*Id.* 1339, internal citation omitted.) Facts giving rise to a confidential, fiduciary or trustee relationship must be pled, and a "bare allegation that defendants assumed a fiduciary relationship" is a conclusion. (*Zumbrun v. Univ. of So. Cal.* (1972) 25 Cal.App.3d 1, 13.)

The FAC establishes

that Defendant is Plaintiff's insurer. (FAC ¶¶ 8, 17.) Generally, "an insurer is not a fiduciary, and owes no obligation to consider the interests of its insured above its own." (Morris v. Paul Revere Life Ins. Co. (2003) 109 Cal. App. 4th 966, 973; Love v. Fire Ins. Exch. (1990) 221 Cal.App.3d 1136, 1148.) Unless the insurer engages in conduct "consistent with assuming broader duties," its duties are limited to those arising out of the insurance contract. (Ahern v. Dillenback (1991) 1 Cal. App. 4th 36, 42; see Negrete v. Fid. And Guar. Life Ins. Co. (2006) 444 F.Supp.2d 998, 1004 [a fiduciary relationship arises when the relationship between the parties goes beyond the traditional relationship of an insurer/insured].)

Plaintiff

suggests that Defendant undertook a "confidential" relationship because Plaintiff entrusted her vehicle with Defendant. The FAC alleges that Defendant was required to exercise the highest standard of care in managing Plaintiff's Vehicle. (FAC ¶ 108.) More specifically, the FAC alleges that Defendant negligently stored the Vehicle. (FAC ¶¶ 21-24, 61-65.) After declaring the Vehicle a total loss, Defendant refused to allow Plaintiff's preferred repair shop to complete any repairs, and informed Plaintiff that they would have to transfer the Vehicle to another location. (FAC ¶¶ 21-22.) Defendant transferred the Vehicle from the repair shop to a storage facility operated by Defendant's alleged agent/co-conspirator Copart. (FAC ¶ 23.) Defendant wanted to transfer the Vehicle to avoid further storage fees. (FAC ¶ 61.) However, Copart's facility was a decrepit, run-down lot that was wholly unsuitable for the storage of vehicles. (FAC ¶ 23.) While in Defendant's custody at the Copart facility, the Vehicle was stored with the windows left open and exposed to the harsh outdoor elements, and as a direct result of negligent storage practices, the Vehicle accumulated substantial filth, debris, dust, dead animals, and bugs inside and sustained further physical damage in the form of dents and scrapes to the exterior. (FAC ¶¶ 24, 63-64.)

While a fiduciary

relationship might arise from control over the property of another (Vai v. Bank of Am. Nat'l Trust & Savs. Ass'n, (1961) 56 Cal.2d 329, 337-338), Plaintiff cites no authority that a person undertakes a fiduciary duty when merely storing a vehicle for another. As Defendant observes, this is at best a voluntary bailment relationship. A voluntary bailment is made by giving to another, with his consent, the possession of personal property to keep for the benefit of the owner or a third party. (Civ. Code § 1814.) "In a broad sense a bailment is the delivery of a thing to another for some special object or purpose, on a

contract, express or implied, to conform to the objects or purposes of the delivery which may be as various as the transactions of men.” (Needelman v. DeWolf Realty Co., Inc. (2015) 239 Cal.App.4th 750, 762, fn. 5.) There is no authority holding that a fiduciary duty arises from a bailment. In fact, the Second District Court of Appeal declined to recognize the bailor-bailee relationship as a "special relationship" in other contexts. (See Hertz Corp. v. Pippin, (1974) 38 Cal. App. 3d 796, 798 [“a bailor and bailee are not in such a special relationship that the bailee's negligence bars the bailor from recovery for harm to the bailed chattel;” see also fn. 1, stating that such a special relationship might exist if the bailor was also principal and agent to the bailee, or was a partner or joint venturer with the bailee].) The arms-length, commercial bailment relationship alleged here is not analogous to other relationships recognized as fiduciary in nature. (See Oakland Raiders v. National Football League (2005) 131 Cal.App.4th 621, 632–633 [listing illustrative relationships, including (1) principal and agent, e.g. real estate broker/agent and client, or a stockbroker and customer; (2) attorney and client; (3) partners; (4) joint venturers; (5) corporate officers and directors, on the one hand, and the corporation and its shareholders, on the other hand; (6) husband and wife; (7) controlling shareholders and minority shareholders; (8) trustee and trust beneficiary; (9) guardian and ward; (10) pension fund trustee and pensioner beneficiary; (11) executor and decedent's estate; and (12) trustee and trust beneficiaries].) Thus, as a matter of law, a mere voluntary bailment does not create a fiduciary relationship. Therefore, the FAC fails to state a fiduciary relationship between Defendant and Plaintiff.

Plaintiff

also asserts that Defendant may be liable for substantially assisting or encouraging a breach of fiduciary duty. However, Plaintiff cites no fiduciary duty between herself and any other defendant for conspiracy/aiding and abetting liability to attach. (See Nasrawi v. Buck Consultants LLC (2014) 231 Cal.App.4th 328, 343 [the elements of aiding and abetting a breach of fiduciary duty are (1) a third party's breach of fiduciary duties owed to plaintiff; (2) defendant's actual knowledge of that breach of fiduciary duties; (3) substantial assistance or encouragement by defendant to the third party's breach; and (4) causation].)

Accordingly, the demurrer is SUSTAINED without leave to amend as to the fourth cause of action.

5th

COA – Negligence

Defendant asserts that the negligence cause of action fails to state a claim because it does not owe any duty regarding its claim handling process.

To plead a cause of action for negligence, one must allege (1) a legal duty owed to plaintiffs to use due care; (2) breach of duty; (3) causation; and (4) damage to plaintiff. (*County of Santa Clara v. Atlantic Richfield Co.* (2006) 137 Cal. App. 4th 292, 318.) “In order to state a cause of action for negligence, the complaint must allege facts sufficient to show a legal duty on the part of the defendant to use due care, a breach of such legal duty, and the breach as the proximate or legal cause of the resulting injury.” (*Bellah v. Greenston* (1978) 81 Cal.App.3d 614, 619.) Negligence may be pleaded in general terms. (*Landeros v. Flood* (1976) 17 Cal.3d 399, 407-408.)

The Court concurs that the general negligence cause of action cannot be founded on the alleged claim handling process. The insurer–insured relationship is contractual in nature. (*Benavides v. State Farm General Ins. Co.* (2006) 136 Cal.App.4th 1241, 1251.) A person may not ordinarily recover in tort for the breach of duties that merely restate contractual obligations. (*Stop Loss Ins. Brokers, Inc. v. Brown & Toland Medical Group* (2006) 143 Cal.App.4th 1036, 1041.) “[N]egligence is not among the theories of recovery generally available against insurers.” (*Sanchez v. Lindsey Morden Claims Services, Inc.* (1999) 72 Cal.App.4th 249, 254; but see *R&B Auto Center, Inc. v. Farmers Groups, Inc.* (2006) 140 Cal.App.4th 327, 344, 337 [an insurer may be vicariously liable for an agent’s negligence in procuring the insurance requested by an applicant].) Generally, an insured may recover against an insurer’s mishandling of a claim under a bad-faith contract theory, prompted not by an honest mistake, bad judgment or negligence but rather by a conscious and deliberate act, which unfairly frustrates the agreed common purposes and disappoints the reasonable expectations of the other party thereby depriving that party of the benefits of the agreement. (*Adelman v. Associated Intern. Ins. Co.* (2001) 90 Cal.App.4th 352, 369.) The FAC only specifically cites the Insurance Code as the basis for the negligence per se theory. (FAC ¶¶ 36, 119, 145.) The FAC identifies no

other duty or conduct by Defendant aside from its negligent claims handling. In opposition, Plaintiff only reiterates general negligence principles and cites Defendant's failure to competently render usual and customary services under the subject agreement. Plaintiff does not show how Defendant, as an insurer, may be liable to her for negligence.

Accordingly, the demurrer is SUSTAINED. Leave to amend will only be granted if Plaintiff demonstrates a reasonable probability of successful amendment in light of the above discussion.

6th

COA – Fraud

The elements of a claim for fraud are (1) misrepresentation of a material fact; (2) knowledge of falsity or lack of a reasonable ground for belief in the truth of the representation; (3) intent to induce reliance; (4) actual and justifiable reliance by the plaintiff; and (5) resulting damage. (*Orient Handel v. United States Fid. & Guar. Co.* (1987) 192 Cal.App.3d 684, 693.) To advance a cognizable fraud claim, "every element of the cause of action... must be alleged in full, factually and specifically, and the policy of liberal construction of pleading will not usually be invoked to sustain a fraud claim deficient in any material respect." (*Wilhelm v. Pray, Price, Williams & Russell* (1986) 186 Cal.App.3d 1324, 1331.) The heightened particularity requirement necessitates pleading facts that "show how, when, where, to whom, and by what means the representations were tendered." (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.) When fraud is alleged against a corporate defendant, the plaintiff must specifically allege the names of the persons who allegedly made the representation, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (*Tarmann v. State Farm Mutual Auto Ins. Co.* (1991) 2 Cal.App.4th 153, 157.) In addition, damages must be alleged distinctly and their "causal connection with the reliance on the representations must be shown." (*Service by Medallion v. Clorox Co.* (1996) 44 Cal.App.4th 1807, 1818.)

The FAC fails to state the fraud claim with sufficient particularity. The exact basis of the fraud cause of action is unclear. The cause itself does not clearly identify any of the subject misrepresentations. In opposition, Plaintiff identifies and cites no specific

facts concerning the subject misrepresentations. Combing through the FAC, Defendant potentially misrepresented the ACV valuation and its offer

as a final “settlement”, omitted negative information about a recommended repair shop, and assured Plaintiff that releasing her vehicle for storage would not affect her rights. (FAC ¶¶ 49–54, 39–48, 26–37, 55–59, 61–65, 121–135.) However, none of these representations are stated with particularity, including the how, when, where, what means the representations were tendered, or which agent(s) of Defendant made the representations. Plaintiff also needs to establish specific facts supporting Defendant’s scienter, such as its present intent not to perform the promises or other facts establishing its knowledge of falsity of the subject misrepresentations. (FAC ¶ 124.) Plaintiff also fails to plead detrimental reliance or resulting damages stemming from those representations. Plaintiff alleges in conclusory fashion that she “reasonably relied” on unspecified statements and omissions and suffered damages as a result. (FAC ¶¶ 125–127, 134–135.) Plaintiff does not allege facts specific actions she took, or refrained from taking, in reliance on any particular misrepresentation.

Accordingly, the
demurrer is SUSTAINED with leave to amend.

Plaintiff has 20 days after
the Court rules at the September 1, 2026, demurrer hearing to file an amended complaint.